

HEADLINE JUDGMENT

Note: 24 Jun figures are intraday prints; 23 Jun is now a final close. Bloomberg's restated continuation series in force throughout. **Score HOLDS at 20/30 — the top of the systemic-risk-watch band — a consolidation as the deal grinds through a bumpy implementation; no channel moved on the 23 Jun close. Implementation progress:** the Switzerland talks concluded Monday with a road map and a mine-coordination pledge; Treasury Secretary Bessent issued a temporary general license authorizing Iranian crude sales through 21 Aug (a first step on sanctions); and the US-led Joint Maritime Information Center downgraded the Hormuz threat level from SEVERE to SUBSTANTIAL — the first downgrade since the crisis began (it was CRITICAL on 4 Jun). **But bumpy:** the talks were strained — Trump threatened on Sunday to “hit Iran very hard again... only harder” over Lebanon, Iran's Ghalibaf said its forces were “prepared to respond,” Iran briefly declared the strait closed (Saturday), and Lebanon fighting killed dozens. The central route is still mined — clearance is put at 40–50 days (the Pentagon says up to six months), possibly outlasting the 60-day window, with flows under half pre-war in the first month and full recovery toward late 2026–2027. **Forward market channels are essentially at pre-war:** Brent \$76.54 (risk premium ~\$4/bbl, a conflict low), 5Y5Y 2.159% (just +1.7 bp above the pre-war anchor), breakevens below pre-war — but the hawkish Fed keeps the dollar >101.4 and pins Treasury (4); VIX ticked up to 19.49. **Three channels are poised at their next downgrade:** oil →1 (Brent toward \$72.48), US-inflation →2 (5Y5Y to 2.142%; held at 3 today to avoid a back-to-back cut), and maritime →3 (on sustained traffic + mine clearance). Escalation holds at 3. Sequencing 21 → 20 → 20.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

24 Jun 2026 readings are intraday prints captured before session close — final settlements may differ. 23 Jun and earlier are final closes (restated continuation series). d/d deltas are 24 Jun intraday vs 23 Jun close; w/w deltas are vs 17 Jun close.

Benchmark	Intraday 24 Jun	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	\$76.54 /bbl	−\$0.26 (−\$2.69 w/w)	from \$72.48 (+5.6%) — conflict low; risk premium ~\$4.1/bbl, near pre-war	CO1 Comdty
Brent · 23 Jun close (carried)	\$76.80 /bbl (vs \$77.79 intraday I reported)	close ran \$0.99 below my intraday — the grind lower continued		CO1 Comdty (Close)
WTI front-month	\$72.32 /bbl	−\$0.22 (−\$3.69 w/w)	from \$67.02 (+7.9%) — the conflict's WTI low	CL1 Comdty
Brent–WTI spread	\$4.22 /bbl	−\$0.04 d/d	steady	derived
Henry Hub natural gas	\$3.15 /MMBtu	+\$0.01 (flat w/w)	from \$3.06 (+2.9%) — near pre-war; US not exposed to Hormuz	NGA Comdty
TTF Dutch gas (active)	€41.80 /MWh	−€0.22 (−€0.12 w/w)	from €31.23 (+33.8%) — stable in the low €40s	TZTA Comdty
Japan/Asia LNG (23 Jun print)	¥2,558	+¥30 vs 22 Jun	from ¥1,669 (+53.3%) — stabilizing	JGLA Comdty
Brent · April 2026 realized average	\$102.46 — 21 trading sessions			CO1 (Close mean)
EIA June STEO (9 Jun)	Brent ~\$105/b Jun–Jul assumed a closed strait — now well stale to the downside			EIA STEO

US Treasuries and inflation expectations — Bloomberg

24 Jun 2026 yields are intraday. d/d deltas are 24 Jun intraday vs 23 Jun close; w/w deltas are vs 17 Jun close. The complex still reflects the 17 Jun hawkish FOMC.

Tenor	Yield (%) — intraday 24 Jun	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.20	−0.1	+1.3	+82 (from 3.37%) — hawkish-FOMC level	USGG2YR Index
5-year UST	4.26	−0.9	−0.3	+76 (from 3.50%)	USGG5YR Index
10-year UST	4.49	−0.6	+0.4	+55 (from 3.94%) — 16 bp below 4.65% trigger	USGG10YR Index
30-year UST	4.94	−0.7	+0.7	+33 (from 4.61%) — below 5.00% (Treasury reverted 5→4 on 11 Jun)	USGG30YR Index
2s10s spread	+29 bp	−0.2	−0.4	−26 (flat — hawkish Fed)	USYC2Y10 Index
10Y breakeven inflation	2.21	−0.3	−1.4	−5 (from 2.26%) — below pre-war	USGGBE10 Index
5Y5Y forward inflation	2.16	−0.1	−2.5	+2 (from 2.14%) — essentially at the pre-war anchor (US-inflation at 3, →2 imminent)	USGG5Y5Y Index
SOFR (lagged print)	3.63	—	—	series lags	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Indicator	Latest	As of	Δ vs pre-war	Interpretation
DXY (dollar index)	101.44	24 Jun intraday	+3.83 (from 97.61)	Holding >101.4 (+1.35 w/w) on the hawkish FOMC — higher-for-longer rate support. Dollar strength, not a Stage-4 break.
MOVE Index (bond vol)	68.78	23 Jun (lagged)	−4.60 (from 73.38)	Holding in the high 60s — above the 65 leg, so the Treasury →3 trigger is out of reach. Far below the 130 Stage-4 level.
VIX (equity vol)	19.49	23 Jun (lagged)	−0.37 (from 19.86)	Ticked up to near pre-war — modest equity caution amid the Trump–Iran threats over Lebanon, but no risk event.
US gasoline retail avg	\$4.54 /gal	22 Jun (latest print)	+\$1.02 (from \$3.52, +29%)	Below the \$4.75 threshold (political-stress at 4); still falling with crude toward the \$3.52 pre-war level.

Strait operational state

Indicator	Current reading	Source
Geneva road map (22 Jun)	The Switzerland talks concluded Monday with a road map and a US–Iran mine-coordination pledge; technical talks continue in the 60-day window. Vance: "things are always a little bit messy."	Techtimes / AP
Sanctions — first step	Treasury's Bessent issued a temporary general license authorizing the production, delivery and sale of Iranian crude through 21 Aug 2026 — an incentive to keep the strait open during nuclear talks.	Techtimes
JMIC threat downgrade	The US-led Joint Maritime Information Center cut the Hormuz threat level from SEVERE to SUBSTANTIAL — the first downgrade since the crisis (CRITICAL on 4 Jun) — but warns "an attack is still a strong possibility" and "mines remain."	Hormuz Strait Monitor
Mines / traffic	Central route still mined; underwater-drone clearance estimated at 40–50 days (Pentagon: up to six months) — possibly outlasting the 60-day window. Flows under half pre-war in the first month; full recovery toward late 2026–2027.	Techtimes / Commons Library
Lebanon / threats	Trump threatened Sunday to "hit Iran very hard again... only harder" over Lebanon proxies; Iran's Ghalibaf said its forces were "prepared to respond"; Iran briefly declared the strait closed (Saturday). Dozens killed in Israeli strikes in Lebanon.	Techtimes / CNN
Macro overlay	The 17 Jun hawkish FOMC (dots 3.8%, 9/18 projecting a hike) keeps the dollar >101.4 and the front end firm even as oil and breakevens sit at/near pre-war.	Fed / Bloomberg

2 · US economic shock — analysis with bond yields

The US economic shock consolidates at **20/30**, the top of the systemic-risk-watch band. The forward market channels have essentially normalized to pre-war (oil's premium ~\$4/bbl, 5Y5Y at its anchor, breakevens below pre-war); what holds the score up is the structural geopolitical residual (maritime denial via mines, escalation via live frictions) and a Treasury channel pinned by the hawkish Fed. The bias is still down, but the pace has slowed — mine clearance is a 40–50-day (up to six-month) job and the Fed is leaning against the disinflation. No Stage-4 signal.

2.1 · Bond-yield transmission

24 Jun yields are intraday; d/d vs 23 Jun close, w/w vs 17 Jun. **Score 20/30 — held; no channel moved on the 23 Jun close.** The complex still reflects the hawkish FOMC: 2Y 4.1970% (+1.3 bp w/w), the dollar >101.4, the curve flat (2s10s +29 bp). The long end is anchored (30Y 4.9383%, +0.7 bp w/w); Brent ground to \$76.54.

(i) Inflation anchor — at pre-war; held at 3, →2 imminent. 5Y5Y forward at 2.1594% (2.1604% close 23 Jun) is just +1.7 bp above the 2.142% pre-war anchor, and 10Y breakeven at 2.21% is 5 bp below pre-war. The forward impulse has essentially normalized; we hold US-inflation at 3 today (having downgraded 4→3 only yesterday) rather than cut again in consecutive sessions. A sustained close at/below 2.142% takes it to 2.

(ii) Long-end — below 5.00%; Treasury Fed-pinned at 4. 30Y at 4.9383% holds below 5.00% but MOVE at 68.78 is above the 65 leg and the front end is firm (2Y 4.20%, dollar >101.4) on the hawkish dots — the Treasury →3 downgrade is out of reach. 10Y at 4.4909% is 16 bp below the 4.65% trigger.

(iii) Oil — conflict low; holds at 2, →1 approaching. Close path: \$77.52 (22 Jun) → \$76.80 (23) → \$76.54 intraday (24 Jun); WTI \$72.32. Risk premium ~\$4.1/bbl (+5.6% vs pre-war). Holds at 2; a sustained grind to the \$72.48 pre-war level — gated by mine clearance and the pace of the physical reopening — takes it to 1.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event — the signed deal has moved the complex far from it; the live question remains the pace of normalization down.

Threshold A · 13 May 30Y auction. Historical. Cleared at 5.050%. With 30Y below 5.00%, coupon auctions should price comfortably despite the hawkish tilt.

Threshold B · 30Y above 5.20% with 10Y above 4.65%. Dormant. 30Y 4.9383% is 26 bp below the 5.20% trigger; 10Y 4.4909% is 16 bp below 4.65% — the hawkish move sits in the front end.

Threshold C · MOVE above 130. Contained. MOVE 68.78 and VIX 19.49 are both below pre-war. Far below Stage-4 levels. HY OAS not in the BBG sheet — the modest VIX uptick warrants a watch, but equities remain near records.

2.3 · Cross-asset

The regime shift is now near-complete on the market side: oil, 5Y5Y, breakevens and TTF are at or below pre-war, and Henry Hub never left it. The two hold-outs are the dollar (>101.4) and front end, held up by the hawkish Fed, and a VIX that ticked back to ~19.5 on the Trump-Iran Lebanon threats. The score's residual 20 is therefore mostly geopolitical-structural (maritime 4, oil 2, escalation 3 — all gated by mine clearance and the talks) plus the Fed-pinned Treasury 4; the inflation impulse has effectively gone home.

3 · Shock score

Total: **20/30**. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	4/5	Held at 4 — →3 nearing. JMIC threat cut SEVERE→SUBSTANTIAL (first of the crisis) and a road map / mine-coordination pledge — but traffic “remains significantly reduced,” the central route is mined (40–50-day clearance), and “an attack is still a strong possibility.”	↑ strait re-closed / blockade reinstated → back to 5. ↓ traffic >25% normal for 10 sessions → to 3.
Oil price shock	2/5	Held at 2 — →1 approaching. Brent \$76.80 close (23 Jun) → \$76.54 intraday; WTI \$72.32. Risk premium ~\$4.1/bbl (+5.6% vs pre-war), gated by the pace of the physical reopening.	↑ Brent >\$95 sustained → back to 3. ↓ Brent toward the \$72.48 pre-war level sustained → to 1.
US inflation impulse	3/5	Held at 3 — →2 imminent. 5Y5Y 2.16% is +1.7 bp above the 2.142% pre-war anchor; 10Y BE 2.21% (below pre-war). Held at 3 to avoid a back-to-back cut (downgraded 4→3 on 23 Jun).	↑ 5Y5Y back >2.20% sustained → to 4. ↓ 5Y5Y sustained at/below the 2.142% pre-war anchor → to 2.
Treasury stress	4/5	Held at 4 — Fed-pinned. 30Y 4.9383% (<5.00%) with MOVE 68.78 (>65); the hawkish dots (3.8% median) keep the front end firm (2Y 4.20%, dollar >101.4). The →3 legs are both out of reach.	↑ 30Y close >5.00% with MOVE >75 → back to 5. ↓ 30Y close <4.50% with MOVE <65 → to 3.
Political stress	4/5	Held at 4. Gasoline \$4.54 (22 Jun), below the \$4.75 threshold and still falling with crude on a ~19-session downtrend from the \$5.18 peak.	↑ gasoline >\$4.75 sustained → back to 5. ↓ toward the \$3.52 pre-war level → to 3.
Escalation risk	3/5	Held at 3 — implementing but contested. A Geneva road map, a mine-coordination pledge and Bessent's sanctions license advance the deal; but Trump threatened to “hit Iran very hard” over Lebanon, Iran threatened to respond and briefly declared the strait closed. Not to 2; not back to 4.	↑ deal collapse / re-closure / fresh strikes → back to 4–5. ↓ 60-day talks progress + sustained normalization → to 2.
TOTAL	20/30	Systemic-risk-watch band — held (consolidation). The deal is implementing (road map, sanctions license, JMIC downgrade) but bumpy (mine clearance 40–50 days, Lebanon threats). Three channels are poised at their next downgrade — oil →1, US-inflation →2, maritime →3 — which would carry the score toward the stress band (8–14); the hawkish Fed pins Treasury at 4.	

4 · What's changed since the last edition (23 Jun AM → 24 Jun AM)

Score holds at 20/30 — a consolidation. No channel moved on the 23 Jun close; the deal is implementing but bumpy, and three channels sit poised at their next downgrade. Source: Bloomberg / news wires.

Geneva road map + sanctions license. The Switzerland talks concluded Monday with a road map and a mine-coordination pledge; Bessent issued a temporary general license for Iranian crude sales through 21 Aug. Implementation is advancing. Source: Techtimes / AP.

JMIC threat downgrade. The US-led Joint Maritime Information Center cut the Hormuz threat from SEVERE to SUBSTANTIAL — the first downgrade of the crisis — though mines remain and “an attack is still a strong possibility.” Maritime holds at 4, →3 nearing. Source: Hormuz Strait Monitor.

Bumpy — Lebanon threats. Trump threatened to “hit Iran very hard” over Lebanon proxies; Iran said it was “prepared to respond” and briefly declared the strait closed; dozens were killed in Israeli strikes in Lebanon. Escalation holds at 3 (contested). Source: Techtimes / CNN.

Forward channels at pre-war. Brent \$76.54 (risk premium ~\$4/bbl), 5Y5Y 2.16% (+1.7 bp above the anchor), breakevens below pre-war — but the hawkish Fed holds the dollar >101.4 and pins Treasury at 4; VIX ticked up to 19.49. Source: Bloomberg.

23 Jun close vs my intraday. Brent \$76.80 vs my \$77.79 (–\$0.99); 5Y5Y closed 2.1604% (vs my 2.1857%), to near the pre-war anchor; VIX jumped to 19.49 (\$9). Source: Bloomberg 23 Jun close.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Deal holds — strait normalizes, talks progress	61%	The road map holds; mines are cleared over 40–50 days; sanctions relief phases in (Bessent license); the 60-day nuclear talks progress. Base case.	Brent \$66–78; 30Y 4.6–4.9%; MOVE <70; score normalizes toward the stress band (8–14).
Slow / partial implementation	30%	Ceasefire holds but normalization is slow — mine clearance (40–50 days, up to 6 months) may outlast the 60-day window; flows under half pre-war for a month; full recovery late 2026–2027.	Brent \$72–82; yields stable; residual risk premium ~\$3–5/bbl; maritime stays at 4 longer.
Implementation breakdown (60-day window)	6%	Talks stall on the nuclear/HEU, sanctions or toll terms, or mine clearance slips past the window; Iran re-closes the strait as leverage.	Brent \$84–96; yields drift up; risk premium rebuilds toward \$12–16/bbl; escalation back to 4.
Ceasefire breakdown / re-escalation	2%	Lebanon collapses the truce — Trump's "hit very hard" threat is realized or Iran responds — and strikes resume despite the signed MOU.	Brent \$108–128; 10Y >4.65%; 30Y >5.20%; risk-off; score back toward the crisis band.
Major regional relapse	1%	Multi-front relapse with the strait re-closed/re-mined. Tail risk, much reduced by the signed, in-effect deal.	Brent \$150+; emergency policy; HY spreads >500 bp; potential dollar disorder.

Probability shifts from the 23 Jun edition: slow/partial implementation +1 (29→30), implementation-breakdown –1 (7→6); deal-holds normalization (61%), ceasefire-breakdown (2%) and regional relapse (1%) held. Driver: the Geneva road map, mine-coordination pledge, Bessent sanctions license and JMIC threat downgrade lower near-term breakdown risk but confirm a slow, mine-gated physical recovery (40–50 days, up to six months). The Lebanon front and the Trump–Iran threats keep the breakdown tails populated; the hawkish Fed pins the Treasury channel.

6 · Watchlist · next 24–72 hours

Mine clearance — the gating factor. Central-route clearance is put at 40–50 days (the Pentagon says up to six months), possibly outlasting the 60-day window. It gates both the maritime →3 downgrade and oil's path toward pre-war.

Strait traffic / JMIC threat level — maritime to 3. The threat cut to SUBSTANTIAL is the first marker; a further downgrade plus traffic sustained >25% of normal for ten sessions takes maritime-denial 4→3.

Oil toward pre-war — oil to 1. Brent \$76.54, WTI \$72.32; risk premium ~\$4.1/bbl. A sustained grind to the \$72.48 pre-war level takes the oil channel 2→1.

5Y5Y at the anchor — US-inflation to 2. 5Y5Y is +1.7 bp above the 2.142% pre-war anchor; a sustained close at/below it takes US-inflation 3→2 (held at 3 today only to avoid a back-to-back cut).

Lebanon / Trump–Iran threats. Trump's "hit Iran very hard" threat and Iran's "prepared to respond" — against continued Israeli strikes — are the most likely route to a ceasefire breakdown and a re-escalation of the score.

Nuclear / sanctions (60-day). Bessent's license is a first step; the HEU stockpile and enrichment limits are the hard terms. A stall is the main implementation-breakdown risk.

Hawkish-Fed aftermath. The dots (3.8%, 9/18 hiking) and a >101.4 dollar pin Treasury at 4; incoming CPI (4.2%) governs whether higher-for-longer hardens — the only path to a Treasury downgrade.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US_Iran_BBG_Data.xlsx, restated front-month continuation series). Tickers: CO1/CL1 Comdty (Brent/WTI); NGA/TZTA/JGLA Comdty (Henry Hub/TTF/Asia LNG); USGG2YR/5YR/10YR/30YR Index; USYC2Y10; USGGBE10; USGG5Y5Y; SOFRRATE; MOVE; VIX; DXY; AUTMUSAG (US retail gasoline).

Tier 1 — news and institutional. AP, Techtimes, CNN, CSIS, Reuters, Bloomberg, UK House of Commons Library, Hormuz Strait Monitor (JMIC advisory); US Treasury (Bessent general license), Federal Reserve / CME FedWatch. The 22 Jun Geneva road map and mine-coordination pledge, the Bessent crude-sales license through 21 Aug, the JMIC SEVERE→SUBSTANTIAL downgrade, the 40–50-day (up to six-month) mine-clearance estimate, and the Trump–Iran Lebanon threats via AP / Techtimes / CNN / Hormuz Strait Monitor.

Tier 3 — state media (labelled). Iranian statements ("prepared to respond," the Saturday closure declaration, "as long as the agreement remains on paper...") are labelled and corroborated against AP / CNN / Techtimes; Tasnim, Mehr, IRIB, Fars, Press TV, Xinhua, TASS used only with explicit role labels and never as sole sourcing for a market-moving claim.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row as intraday; reclassify the prior session as a final close (23 Jun) and capture any restatement of the continuation series.
2	Recompute deltas	d/d vs prior close; w/w vs the close five trading sessions back (w/w base = 17 Jun this edition, the 19 Jun Juneteenth holiday in the window); vs-pre-war vs the 27 Feb 2026 anchor.
3	Re-evaluate the six shock-score channels	Market/economic channels move on a confirmed close (this edition: none triggered; US-inflation held at 3 to avoid a back-to-back cut though 5Y5Y is at the anchor). Escalation-risk is event-based, held at 3 (implementing but contested).
4	Reconcile against the prior edition	Flag intraday-vs-close divergences (this edition: the 23 Jun close ground oil lower and took 5Y5Y to the pre-war anchor; VIX ticked up).
5	Update scenarios and watchlist	Re-rank near-term catalysts; lead with mine clearance, the JMIC threat level, oil toward pre-war, the 5Y5Y anchor, and the Lebanon threats.

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil price shock, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market/economic channels move on a confirmed close through a trigger, read with judgment — this edition US-inflation was held at 3 despite 5Y5Y sitting at the pre-war anchor, to avoid a second consecutive cut on a marginal move; the downgrade to 2 awaits a sustained close at/below 2.142%. Escalation-risk is event-based and held at 3 (signed deal implementing, contested). A hawkish FOMC continues to pin the Treasury channel at 4, an exogenous crosscurrent flagged explicitly.

Pre-war anchor (27 Feb 2026 close). Brent \$72.48; WTI \$67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline \$3.52; Henry Hub \$3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified — unchanged.) Brent (+5.6%), 5Y5Y (+1.7 bp), 10Y breakevens (below), MOVE and VIX are now at or near pre-war; the hawkish Fed holds the front end and dollar above it.

Intraday caveat. The latest dated row is a Singapore-AM intraday snapshot; US-hours trading and headlines set the close (the 23 Jun close ground oil lower and took 5Y5Y to the pre-war anchor after my AM read). Market-channel triggers are evaluated only on confirmed closes; escalation-risk is event-based. This edition uses Bloomberg's restated front-month continuation series; absolute levels are not directly comparable with pre-restatement editions, though the directional analysis is continuous.